

GNIOT Institute of Management Studies – PGDM (Batch 2023-25)**(TRIMESTER –III) END TERM EXAMINATION, APRIL -2024****INTERNATIONAL TRADE OPERATIONS & DOCUMENTATION****[Time: 3 Hours]****[Maximum Marks: 60]****Following are the course outcomes of the subject: - INTERNATIONAL TRADE OPERATIONS & DOCUMENTATION**

CO	Course Outcome (CO)
CO1	Identify & understand the relevance of trade theories, Registration process, Payment terms, Export costing and pricing.
CO2	To promote basic understanding on the concepts of export & import in International Trade.
CO3	Interpret the process of shipment procedures, & summarize the various documents used in international trade.

(Note- Faculty can add the more CO's as per their subject.)**SECTION-A****Attempt all parts of the following: (Short Answer Type Questions, do not exceed 200 words)**

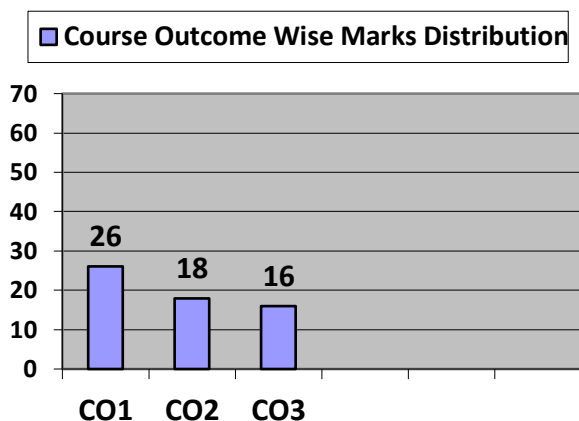
Q.1	Marks	CO
(A)	4	CO – 1
(B)	4	CO – 1
(C)	4	CO – 1
(D)	4	CO – 1
(E)	4	CO – 1

SECTION-B**Attempt all questions out of the following: (Long Answer Type Questions)**

Q. No	Marks	CO
2 (A)	6	CO – 1
2 (A)	6	CO – 1
2 (B)	6	CO – 2
2 (B)	6	CO – 2
3 (A)	6	CO – 2
3 (A)	6	CO – 2
3 (B)	6	CO – 2
3 (B)	6	CO – 2

SECTION-C**Attempt all parts of the following: (Caselet / Numerical)**

Q.4	Marks	CO
4 (A)	8	CO – 3
4 (B)	8	CO – 3



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(TRIMESTER – III) END TERM EXAMINATION, APRIL - 2024

INTERNATIONAL TRADE OPERATIONS & DOCUMENTATION

[Time: 3 Hours]

[Maximum Marks: 60]

INSTRUCTIONS:

- (i) There are **THREE** sections in this question paper.
- (ii) Attempt questions from each section as per the directions.
- (iii) Make suitable assumptions wherever necessary.

SECTION-A

(Short Answer Type Questions, do not exceed 200 words)

Q.1. Attempt all parts of the following:

(5×4=20)

- (a) Define International Trade. Explain the significance of International Trade.
- (b) Differentiate between Country-Based International Trade Theories and Firm-Based International Trade Theories.
- (c) Define the term ‘**Letter of Credit.**’ What is the role of Letter of Credit in International Trade?
- (d) Explain the term ‘**Proforma Invoice**’ and **Commercial Invoice**’.
- (e) Explain 2 different modes of entry through which a firm enters into an International Market.

SECTION-B

(Long Answer Type Questions)

Q.2. Attempt all questions of the following

(4×6=24)

- (a) Define term ‘**Mercantilism**’. Explain the theory of Mercantilism. What are the different implications and criticism of mercantilism theory.

OR

- (a) Examine the implications of Adam Smith’s theory of absolute cost advantage. Also discuss the criticisms of Absolute Advantage Theory.
- (b) Briefly explain the relevance of tariffs, subsidies, import quotas, voluntary export restraints as commercial policy instruments to regulate international trade.

OR

- (b) Explain the different factors which should be taken into consideration for selection of product and market payment terms required for International Trade.

Q.3. (a) Elaborate the factors of ‘Export Costing & Pricing.’ Also explain the importance of export costing and pricing.

OR

- (a) Explain the Export Procedure required to follow while shipping and trading the goods in international market.
- (b) Who is known as Clearing & Forwarding agent? Explain the role of clearing agents in International Trade and Operations.

OR

- (b) Write a short note on: (i) **Tariffs & Quota** (ii) **Voluntary Export Restraints** (iii) **Direct & Indirect Exports**

SECTION-C

Q.4. Attempt all parts of the following:

(2×8=16)

SWOT analysis is basically an analysis of company or organisation's strengths, weaknesses, opportunities and threats. Here is a case study of Apple Inc. on SWOT analysis. Apple had launched its new phone iPhone 7 in an event. It has also expanded its business boundary by launching Apple watch, and Bluetooth headphones, also known as AirPods. Apple's Strengths iPhones have created a unique brand identity for themselves. People are willingly ready to spend lakhs in the name of iPhone. The logo of Apple is a symbol of status these days. Moreover, Apple's product design is artistic, yet simple, rich and royal and creative too. Apple has customer faith and its brand value has worldwide recognition. Its brand value is so high that most of the Apple's products are often pre-ordered worldwide. Moreover, Apple utilises its image to sell a way of life of imagination, extravagance and smoothness. This is how it advertises its items: Not as a straightforward contraption, yet as a route into its designed and planned world.

This is why, its revenues and, subsequently, its profit margin are too high in products like Mac Laptop, iPhone, iPad, etc. Apple's Weaknesses One of the greatest weaknesses of Apple is its high prices of products. Although its prices are high, but it restricts its buyers from upper middle class to high class. Usually, a PC can be bought for \$200. On the contrary, Apple's Mac laptop costs around \$1100-\$1200. If offered at a sale price, the sales reduce the price of the product by only \$50-\$100. Only the students are able to get the laptops at discounted prices. If we take globally, then there are a number of lower-class people who couldn't afford to buy Apple products. Apple ignores this class of customers. We can say that this is a great weakness of Apple Inc. Apple's Opportunities Apple has witnessed a potential advantage in teaming up with various solid and existing brands identified with its commercial centre. With its new AirPods, it has collaborated with Beats earphones to present the new remote Beats X close by its iPhone 7. Moreover, Nintendo is bringing another amusement, Mario Run, to iPhone — consolidating the Apple name with the notable diversion face of Nintendo. This is another incredible brand which could get gigantic numbers from its numerous fans all over the world. Apple's present advancement can be derided, criticised or cheered. In any case, the business openings from working together with other expansive brands over the world will profit the Apple brand monstrously, insofar as it keeps on building up these business connections. Apple's Threats Ever since Apple Inc has entered in the market, its biggest threat is innovation. It keeps on producing the same kind of products. The regular customer might lose interest after some time. While Apple's structure is smooth and short-sighted, that is actually what makes it simple to imitate. Worldwide stores sell counterfeit renditions of iPhones and iPod contacts which, outwardly, look about indistinguishable. Furthermore, numerous individuals fall for the tricks of 'overly cheap Apple items' sold on the web. Another threat to Apple products is competition. Companies like Samsung have captured the market with the launch of the concept of androids in the market. Apple has heightened its competition by not providing earphones in its new model, iPhone 7. Moreover, android companies are providing the same facilities at much cheaper rates.

4(a) How did Apple expand its business boundaries?

4(b) What were the threats to Apple Inc?